

Quiz 1

ECON 101: Macroeconomics

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1. The fundamental economic problem arises because:
 - A. People have unlimited resources but limited wants
 - B. Society must make choices because resources are scarce relative to wants
 - C. Governments control the allocation of all resources
 - D. Firms cannot produce enough goods to satisfy every consumer
2. Which of the following is a **positive economic statement**?
 - A. The federal government should reduce income taxes.
 - B. Canada should increase spending on education.
 - C. An increase in the price of gasoline reduces the quantity of gasoline demanded, ceteris paribus.
 - D. The government ought to provide more affordable housing.
3. Opportunity cost is best described as:
 - A. The total monetary cost of producing a good
 - B. The value of the next-best alternative that must be given up
 - C. The amount of money spent on a decision
 - D. The difference between total revenue and total cost
4. A country's PPF is bowed outward from the origin primarily because:
 - A. All resources are equally suited to producing both goods
 - B. The opportunity cost of producing additional units of one good tends to rise
 - C. Resources become unlimited as production increases
 - D. The economy experiences no scarcity

5. Suppose Country X can produce either 40 units of wheat or 80 units of clothing, while Country Y can produce either 60 units of wheat or 90 units of clothing. Mutually beneficial trade is possible when countries specialize according to:
 - A. Absolute advantage only
 - B. Comparative advantage
 - C. Equal production possibilities
 - D. Government regulation of trade
6. A student has 12 hours available for either studying or working. The student earns \$20 per hour at a part-time job. If the student chooses to study for one additional hour instead of working, what is the **opportunity cost** of that additional hour of studying? **(2 points)**
7. Consider the following simplified PPF data:

Choice	Bicycles	Tablets
A	0	120
B	20	100
C	40	80
D	60	60
E	80	40
F	100	20

- (a) What is the opportunity cost of increasing bicycle production from 40 to 60? **(2 points)**
 - (b) Based on the table, are the opportunity costs constant, increasing, or decreasing? Briefly explain. **(2 points)**
8. Country A can produce a maximum of 80 tons of wheat or 40 tons of steel. Country B can produce a maximum of 90 tons of wheat or 60 tons of steel.
 - (a) Which country has the **absolute advantage** in wheat and which country has the absolute advantage in steel? **(2 points)**
 - (b) Calculate the opportunity cost of producing one ton of steel in each country. Which country has the **comparative advantage** in steel? **(2 points)**